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NOTE

From:	Presidency
To:	Permanent Representatives Committee
Subject:	Multiannual Financial Framework 2028-2034: revenue *-Policy debate*

Background

Own Resources

The Commission has proposed five new Own Resources (related to the Carbon Border Adjustment Mechanism (CBAM), a Corporate Resource for Europe (CORE), the Emissions Trading System (ETS), non-recycled E-waste, the Tobacco Excise Directive (TEDOR)). These are embedded in a reformed revenue framework that includes adjustments to the existing Own Resources (Traditional Own Resources, VAT, Plastic Packaging Waste and GNI). The Commission estimates that this package of changes could generate about EUR 58 billion per year (2025 prices). By way of comparison, in 2025 EUR 154 billion was generated by the existing own resources[1].

During the negotiations on the 2028-2034 MFF, further suggestions have been put forward for new Own Resources, including the European Parliament's suggestions for Own Resources based on digital services, online gambling and crypto-assets.

[1] Amending Budget 3/2025

Other issues

There are a number of debt-financed instruments (Catalyst Europe, the Ukraine Reserve, the Crisis Mechanism) in the proposal, which would entail new debt issuances guaranteed by the margin left under the own resources ceiling ("headroom"). This could potentially impact the level of contributions which might be called upon Member States.

Additionally, the next MFF will have to encompass debt service of the stock of debt issued during the current MFF, predominantly from the European Union Recovery Instrument in the framework of NGEU.

State of Play

Over the last year, the revenue side of the budget has been the subject of discussions at Council, COREPER and working parties. Leaders have also expressed their views at the European Council meetings in December 2025, informal meeting in April 2026 and in June 2026. On 8 July, the Presidency set out its aim to identify possible elements that together can form a credible revenue basket, keeping in mind three key principles: that the Own Resources are capable of generating sufficient volume or revenue, of achieving the required unanimity in the Council, and of being implementable by 2028. At the end of July, bilaterals were held at the level of Permanent Representatives to the EU. Further bilaterals are currently ongoing at the level of GAC Ministers throughout September.

From those engagements, the Presidency views that:

1. The vast majority of Member States are willing to engage on a package of new Own Resources and adjustments to the existing system. However, if each criticism were accounted for, the package would be minuscule. To arrive at a substantial package, compromises will need to be made by all. Many Member States link their willingness to engage on individual Own Resources to their overall satisfaction with the MFF, and suggest that balance may in part be found across both the expenditure and revenue sides.

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2. Of the Commission's proposals for new Own Resources, the most consensual among Member States is CBAM, with many open to increasing the call rate further. E-waste also receives a broad degree of support, with criticism largely more technical in nature than political, relating to its statistical nature and methodological issues. While a group of Member States remain opposed to ETS, a majority are open to ETS, either as proposed or with further amendments. Many Member States were critical of TEDOR. Most Member States were opposed to CORE.

3. Most Member States were opposed to or doubted the ability for the EP proposals (i.e. levies based on digital services, online gambling or crypto-currency) to be implemented by 2028. A small number consider the Digital Services Levy an alternative worth considering, but several Member States raised geo-political concerns.

4. In relation to the existing Own Resources, aside from a small number of Member States for whom maintaining the retention rate of 25% for traditional own resources (collection costs) is very important, there was widespread support for reducing this rate to 10%. A very small number of Member States mentioned VAT capping and the correction on plastic packaging waste. GNI corrections were raised by both those in support and in opposition to them.

5. Beyond the Commission proposals and the EP proposals, there were a small number of suggestions for other new Own Resources from individual MS, including in relation to sugar tax, 5G licences, and a financial transactions tax (FTT).

6. In relation to debt, many Member States raised their openness to changing the repayment profile of NGEU principal repayments, while some other MS were critical or strongly opposed. There was limited discussion of new borrowing, with some Member States noting their interest in Catalyst Europe and the Crisis Mechanism, while others were opposed.

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Conclusion

To assist the Presidency's aim of bringing the Negotiating Box closer to a landing zone, and develop an ambitious but achievable own resources package, Ambassadors are requested to reflect on this feedback from bilaterals, advise what adjustments can make the Commission's own resources package more acceptable. Guiding questions are provided below.

The Presidency notes that revenue cannot be seen in isolation from expenditure, which was discussed at the informal GAC of 3-4 September, and will be returned to in Coreper and in GAC later this month.

Guiding questions

Based on the information provided above;

1. *What elements and adjustments to the current proposal of the Commission on New Own Resources are needed in order to bring the Negotiating Box closer to agreement;*

2. *In the case of adjustments to the Commission proposal on New Own Resources, what is a realistic acceptable volume for the Own Resources package to generate?*

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